

offers a reward commensurate with its level of risk. Instead of paying a premium for the S&P 500 Equal Weight Index fund, investors could instead just buy a small- to mid-cap index fund.

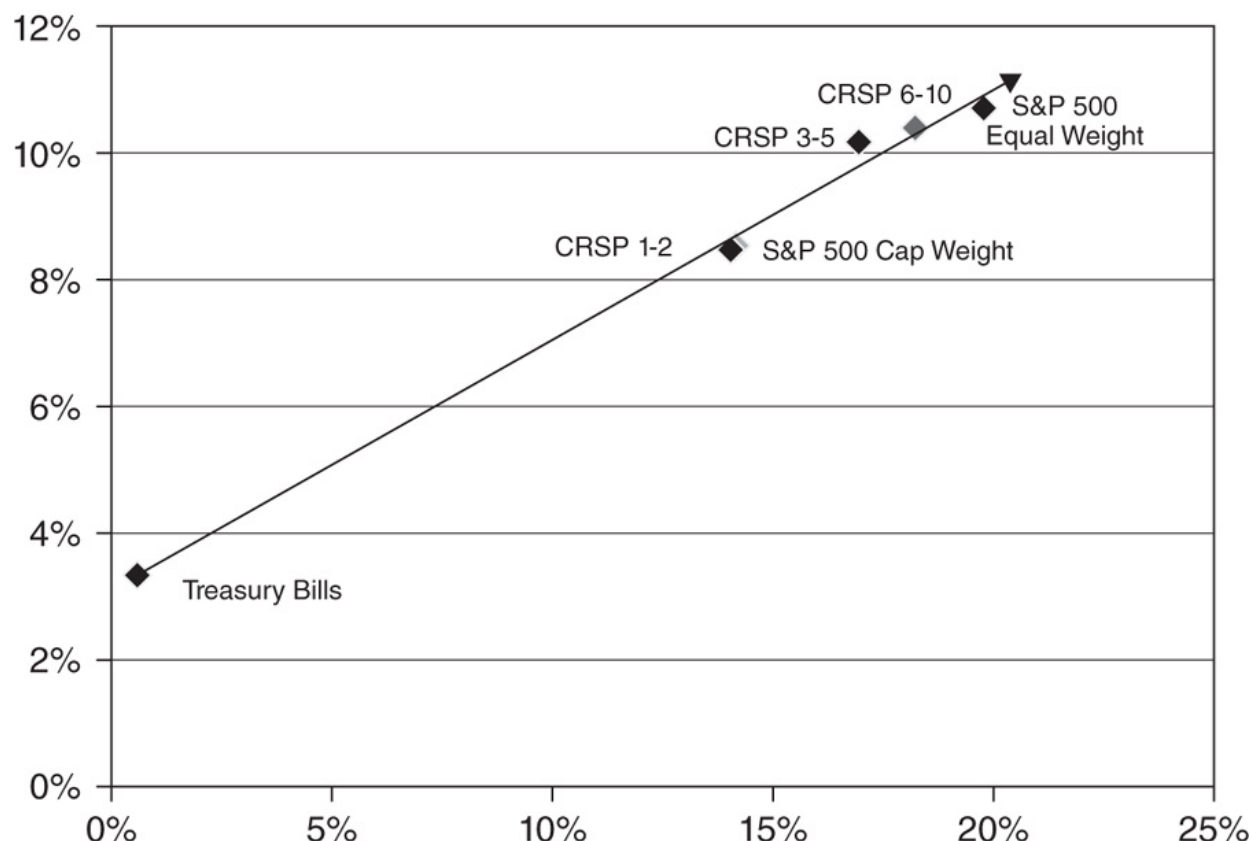


Figure 6.3 S&P Indexes and CRSP Deciles Return Versus Volatility, 1990–2012

In addition, the weightings of equal-weight portfolios move continuously away from their target levels, which requires frequent rebalancing and substantially higher transaction costs. Frequent rebalancing also involves selling recent winners and buying recent losers, which goes against the momentum effect.

Back in the early 1970s, some of the early adopters of passive investing chose equal-weighted portfolios but gave up on that idea because of the issues of higher turnover, higher volatility, and having to invest large amounts in illiquid stocks.

Low volatility/minimum variance portfolios also suffer from very high portfolio turnover costs. Using data from 1967 through 2000, Hsu, Kaleshik,